3.5.2 Profitability

Unit 3.5 Financial management · 6 key points

- **Gross profit margin:** gross profit ÷ revenue × 100
- **Operating profit margin:** operating profit ÷ revenue × 100
- **Profit for the year margin:** profit for the year ÷ revenue × 100
- **Margin v profit:** profit can rise while the margin falls if revenue rises faster
- **Using margins:** compare over time and with rivals
- **Improving margins:** raise prices or cut costs relative to revenue